APPRAISAL REPORT

Riverbend Terrace | Pittsburgh, PA

Subject Property	Riverbend Terrace
Address	6274 Pioneer Road, Pittsburgh, PA 30162
Property Rights Appraised	Fee Simple
Effective Date of Value	June 8, 2022
Market Value Conclusion	$17,500,000

Submarket Analysis

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 5.98% and 5.98%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Rent growth in the submarket has averaged 5.4% annually over the past 6 years. Median household income within a 4-mile radius of the property is approximately $411,000 and has grown 9.4% annually. Riverbend Terrace is located in Pittsburgh, PA, a market that has recorded 3.1% population growth over the last five years.

Resident turnover has averaged 11.1% annually with renewal retention above 95.3%. Employment growth is led by healthcare, logistics, education and professional services sectors. Riverbend Terrace is located in Pittsburgh, PA, a market that has recorded 4.8% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 4.0% annually over the past 5 years. The Pittsburgh Multifamily market has experienced absorption of 1500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Topography and Flood Zone

The site contains approximately 19.19 acres and is generally level with frontage along Pioneer Road. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 47.47 acres and is generally level with frontage along Pioneer Road. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Supply and Demand

Average in-place rent is $1,137 per month against an average unit size of 818 square feet. Median household income within a 7-mile radius of the property is approximately $387,000 and has grown 11.8% annually. Riverbend Terrace is located in Pittsburgh, PA, a market that has recorded 5.6% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Riverbend Terrace is located in Pittsburgh, PA, a market that has recorded 2.7% population growth over the last five years. Rent growth in the submarket has averaged 6.9% annually over the past 3 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Multifamily product stands at 4.8%, down from 5.9% two years ago. Average in-place rent is $1,137 per month against an average unit size of 818 square feet.

Access and Utilities

The site contains approximately 4.4 acres and is generally level with frontage along Pioneer Road. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 40 curb cuts and the property is served by municipal water and sanitary sewer.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Submarket Analysis

Rent growth in the submarket has averaged 7.1% annually over the past 9 years. Market vacancy for comparable Multifamily product stands at 5.7%, down from 3.1% two years ago. Resident turnover has averaged 2.8% annually with renewal retention above 95.8%. Median household income within a 8-mile radius of the property is approximately $184,000 and has grown 2.4% annually. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 7.13% and 7.13%.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 13.0% annually with renewal retention above 92.9%. Market vacancy for comparable Multifamily product stands at 6.1%, down from 5.4% two years ago. Median household income within a 2-mile radius of the property is approximately $430,000 and has grown 10.9% annually. Employment growth is led by healthcare, logistics, education and professional services sectors.

Site Description

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 3 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 13 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 48.48 acres and is generally level with frontage along Pioneer Road.

Market Overview

Rent growth in the submarket has averaged 7.9% annually over the past 5 years. Riverbend Terrace is located in Pittsburgh, PA, a market that has recorded 6.6% population growth over the last five years. Market vacancy for comparable Multifamily product stands at 12.8%, down from 4.4% two years ago. The Pittsburgh Multifamily market has experienced absorption of 4600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 6.30% and 6.30%.

Resident turnover has averaged 3.1% annually with renewal retention above 88.4%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Employment growth is led by healthcare, logistics, education and professional services sectors. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The Pittsburgh Multifamily market has experienced absorption of 3500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Access and Utilities

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 18.18 acres and is generally level with frontage along Pioneer Road. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 39 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 13 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Demographics and Employment

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,137 per month against an average unit size of 818 square feet. The Pittsburgh Multifamily market has experienced absorption of 4200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Multifamily product stands at 3.0%, down from 3.7% two years ago.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Building Systems

Common area interiors have been refreshed within the last 6 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 20-year membrane system with an estimated remaining useful life of 4 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Average in-place rent is $1,137 per month against an average unit size of 818 square feet.

The roof is a 27-year membrane system with an estimated remaining useful life of 6 years. Mechanical systems include rooftop package units and central plant equipment of varying age. Average in-place rent is $1,137 per month against an average unit size of 818 square feet. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Improvements Description

The roof is a 28-year membrane system with an estimated remaining useful life of 5 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Average in-place rent is $1,137 per month against an average unit size of 818 square feet. Mechanical systems include rooftop package units and central plant equipment of varying age. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

The roof is a 12-year membrane system with an estimated remaining useful life of 11 years. Riverbend Terrace was originally constructed in 1995 and consists of 125 apartment homes in a building of 8 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Mechanical systems include rooftop package units and central plant equipment of varying age. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Construction Details

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Resident turnover has averaged 13.1% annually with renewal retention above 89.5%. Common area interiors have been refreshed within the last 3 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Riverbend Terrace was originally constructed in 1995 and consists of 125 apartment homes in a building of 27 stories. Average in-place rent is $1,137 per month against an average unit size of 818 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Common area interiors have been refreshed within the last 11 years and are in average to good condition. The roof is a 8-year membrane system with an estimated remaining useful life of 6 years.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Foxglove Flats	Buffalo, NY	03/13/2024	102	$14,054,513	$112,436	5.49%	2005
Ridgeline Residences	Buffalo, NY	07/01/2023	130	$21,223,751	$169,790	6.25%	2022
Foxglove Residences	Baltimore, MD	07/31/2024	95	$20,306,748	$162,454	7.09%	1998
Verde Flats	Minneapolis, MN	02/09/2022	123	$10,521,913	$84,175	8.06%	2001
Glenview Terrace	Boston, MA	06/11/2022	64	$19,408,758	$155,270	7.35%	1988
Northgate Flats	Denver, CO	04/05/2026	71	$21,626,823	$173,015	5.70%	2018
Maple Commons	Indianapolis, IN	08/05/2024	75	$18,322,851	$146,583	6.29%	1970
Everett Residences	Grand Rapids, MI	01/31/2022	165	$10,945,881	$87,567	7.95%	2004
Riverbend Lofts	Sacramento, CA	05/27/2026	105	$12,334,976	$98,680	6.02%	1997
Osprey Residences	Cleveland, OH	06/29/2025	63	$22,645,159	$181,161	7.74%	2016
Oakmont Terrace	Raleigh, NC	05/09/2023	163	$24,089,901	$192,719	5.67%	1966
Ashford Villas	Norfolk, VA	06/14/2026	138	$21,054,976	$168,440	7.58%	1966
Verde Lofts	New Orleans, LA	04/10/2022	135	$14,741,321	$117,931	6.70%	1979
Nautilus Terrace	Austin, TX	06/11/2026	87	$14,868,299	$118,946	6.39%	1967
Gatewood Lofts	Louisville, KY	03/31/2025	71	$8,658,462	$69,268	5.01%	2012
Mesa Flats	Salt Lake City, UT	10/13/2024	184	$11,015,840	$88,127	6.67%	1975
Driftwood Terrace	St. Louis, MO	08/12/2026	167	$13,746,253	$109,970	5.42%	1965
Harbor Apartments	Dallas, TX	03/29/2023	80	$21,084,785	$168,678	6.22%	2018
Oakmont Commons	Indianapolis, IN	05/03/2026	166	$15,507,740	$124,062	8.06%	1990
Thornton Residences	Albany, NY	04/24/2022	78	$20,208,973	$161,672	5.88%	1983
Alder Terrace	Las Vegas, NV	07/11/2022	177	$9,514,328	$76,115	7.10%	1976
Sable Residences	Portland, OR	12/24/2025	111	$9,009,219	$72,074	7.22%	2004
Vista Commons	Buffalo, NY	08/08/2025	161	$9,739,371	$77,915	7.33%	2010
Elmhurst Apartments	Kansas City, MO	02/03/2026	182	$8,502,039	$68,016	5.57%	1986
Cedar Villas	Boston, MA	04/30/2024	89	$23,318,848	$186,551	7.36%	1982
Heritage Commons	Oklahoma City, OK	08/28/2026	100	$19,504,148	$156,033	5.23%	2022
Aspen Apartments	Baltimore, MD	01/23/2023	105	$10,578,588	$84,629	7.85%	2004
Everett Apartments	Jacksonville, FL	02/19/2024	177	$23,600,189	$188,802	5.16%	1994
Thornton Residences	Albuquerque, NM	04/01/2026	75	$12,313,477	$98,508	6.02%	1975
Garnet Terrace	New Orleans, LA	07/16/2022	67	$17,117,138	$136,937	6.09%	2012
Yarrow Residences	Savannah, GA	02/11/2025	69	$19,751,866	$158,015	5.54%	1993
Granite Terrace	Columbus, OH	02/10/2023	72	$19,189,391	$153,515	5.40%	1991
Everett Terrace	Dallas, TX	08/18/2026	83	$19,145,493	$153,164	5.52%	1999
Indigo Flats	Detroit, MI	04/04/2022	95	$20,290,527	$162,324	7.13%	1978
Riverbend Villas	Portland, OR	05/11/2025	149	$8,388,707	$67,110	5.46%	1991
Eastlake Lofts	Phoenix, AZ	11/21/2023	158	$17,240,574	$137,925	5.04%	1996
Westgate Villas	Orlando, FL	03/04/2026	128	$12,780,100	$102,241	5.94%	2005
Cypress Terrace	Allentown, PA	02/24/2026	140	$11,480,974	$91,848	6.43%	1980
Lakeshore Apartments	Cincinnati, OH	09/09/2022	73	$16,766,950	$134,136	6.49%	1988
Driftwood Residences	Birmingham, AL	08/25/2023	133	$16,700,597	$133,605	6.63%	2000
Bluestone Terrace	Aurora, CO	04/17/2024	150	$21,100,526	$168,804	5.87%	2010
Timberline Commons	San Antonio, TX	04/12/2024	160	$11,595,739	$92,766	5.54%	1978
Union Villas	Riverside, CA	05/18/2026	99	$21,135,494	$169,084	7.87%	2003

Report generated 06/08/2022. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Income and Expense Review

Operating expenses totaled $202,000 or approximately 16.72 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. Debt service coverage ratio was 5.42x on a trailing basis against a covenant minimum of 1.20x. Average in-place rent is $1,137 per month against an average unit size of 818 square feet. Effective gross income for the trailing period was $114,000, representing a 10.2% increase over the prior year.

Average in-place rent is $1,137 per month against an average unit size of 818 square feet. Effective gross income for the trailing period was $98,000, representing a 11.2% increase over the prior year. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Financial Analysis

Resident turnover has averaged 3.9% annually with renewal retention above 88.1%. Effective gross income for the trailing period was $260,000, representing a 10.0% increase over the prior year. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Operating expenses totaled $32,000 or approximately 21.48 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $67,000, representing a 3.3% increase over the prior year. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Operating Performance

Operating expenses totaled $8,000 or approximately 20.03 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. The going-in capitalization rate of 6.61% reflects the in-place income and the stabilized occupancy assumption. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Average in-place rent is $1,137 per month against an average unit size of 818 square feet. Operating expenses totaled $386,000 or approximately 22.58 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.51% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Yarrow Commons	1.5 mi	2007	Bay	$1,292.53	94.8%	$500
Tidewater Flats	3.2 mi	1990	2BR	$1,228.24	92.8%	None
Quincy Residences	2.7 mi	2004	Studio	$1,136.08	93.5%	1 mo. free
Hawthorne Residences	2.2 mi	1977	Studio	$1,257.50	95.9%	1 mo. free
Hawthorne Flats	2.9 mi	2002	Unit	$1,152.91	97.0%	None
Riverbend Residences	2.6 mi	1998	Bay	$1,305.49	90.1%	1 mo. free
Saddlebrook Flats	2.4 mi	1980	Inline	$1,309.18	95.9%	None
Wexford Terrace	3.7 mi	2016	Unit	$1,175.87	86.8%	1 mo. free
Dover Villas	0.7 mi	2004	Inline	$1,069.14	88.0%	None
Ironwood Residences	3.8 mi	2010	Inline	$1,362.43	90.5%	1 mo. free
Newport Apartments	0.5 mi	1970	1BR	$1,238.57	96.1%	None
Ivy Commons	4.6 mi	2005	Bay	$1,290.50	91.5%	None
Juniper Commons	0.3 mi	2017	Unit	$1,135.19	94.8%	$500
Verde Residences	3.4 mi	2018	Suite	$1,263.61	97.3%	1 mo. free
Alder Apartments	4.7 mi	1984	1BR	$1,241.03	91.8%	$500
Meridian Residences	4.6 mi	2018	Bay	$1,346.09	92.9%	None
Amberly Lofts	3.5 mi	2017	1BR	$1,154.67	93.8%	1 mo. free
Stonebridge Terrace	1.0 mi	2010	Unit	$1,258.96	88.0%	1 mo. free
Brookside Villas	1.5 mi	1972	Suite	$1,089.00	93.4%	$500
Indigo Lofts	2.7 mi	2014	Bay	$1,078.41	89.1%	$500
Hawthorne Apartments	4.3 mi	2017	1BR	$1,169.20	92.5%	1 mo. free
Osprey Commons	2.9 mi	2020	1BR	$1,149.86	91.4%	None
Oakmont Residences	2.2 mi	1984	Inline	$1,103.15	95.1%	$500
Beacon Residences	0.9 mi	2014	Inline	$1,068.23	92.3%	$500
Driftwood Apartments	3.1 mi	1990	Suite	$1,059.17	96.0%	1 mo. free
Eastlake Terrace	2.5 mi	2013	Unit	$1,040.81	87.6%	None
Gatewood Residences	3.2 mi	1993	Unit	$1,200.32	93.7%	None
Juniper Terrace	0.8 mi	1994	1BR	$1,355.74	96.8%	None
Valley Flats	1.2 mi	1981	2BR	$1,305.53	96.4%	None
Redwood Residences	4.7 mi	2002	1BR	$1,014.40	96.9%	None
Tidewater Villas	1.4 mi	1985	2BR	$1,195.01	93.5%	None
Upland Commons	0.7 mi	2017	Unit	$1,031.29	89.3%	1 mo. free
Meridian Villas	0.4 mi	1973	1BR	$995.23	93.7%	$500
Canyon Flats	3.1 mi	1987	Studio	$1,064.49	88.8%	1 mo. free
Dover Apartments	2.4 mi	2004	1BR	$1,003.44	86.6%	1 mo. free
Bluestone Terrace	2.8 mi	2012	Suite	$1,146.51	87.2%	None
Alder Apartments	2.3 mi	1989	Unit	$1,068.76	89.9%	$500
Foxglove Lofts	1.8 mi	1998	1BR	$983.75	89.9%	$500
Copper Villas	4.4 mi	2006	Unit	$1,203.97	88.7%	1 mo. free
Nautilus Flats	3.8 mi	2023	Bay	$1,358.15	88.6%	None

Report generated 06/08/2022. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Submarket Analysis

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 6-mile radius of the property is approximately $358,000 and has grown 8.6% annually. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Employment growth is led by healthcare, logistics, education and professional services sectors. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Median household income within a 3-mile radius of the property is approximately $137,000 and has grown 8.2% annually. Riverbend Terrace is located in Pittsburgh, PA, a market that has recorded 10.8% population growth over the last five years. Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 6.71% and 6.71%. The Pittsburgh Multifamily market has experienced absorption of 2600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Average in-place rent is $1,137 per month against an average unit size of 818 square feet.

Site Description

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 12 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 5.5 acres and is generally level with frontage along Pioneer Road.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 3 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 37.37 acres and is generally level with frontage along Pioneer Road.

Market Overview

Average in-place rent is $1,137 per month against an average unit size of 818 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 5.1% annually with renewal retention above 95.8%. Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 6.65% and 6.65%.

Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 7.77% and 7.77%. The Pittsburgh Multifamily market has experienced absorption of 2800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Rent growth in the submarket has averaged 5.4% annually over the past 6 years.

Access and Utilities

Access to the site is provided by 29 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

The site contains approximately 14.14 acres and is generally level with frontage along Pioneer Road. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Market Overview

Rent growth in the submarket has averaged 8.0% annually over the past 12 years. Market vacancy for comparable Multifamily product stands at 13.6%, down from 6.5% two years ago. Riverbend Terrace is located in Pittsburgh, PA, a market that has recorded 10.8% population growth over the last five years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 5.03% and 5.03%. Median household income within a 2-mile radius of the property is approximately $119,000 and has grown 4.8% annually.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Building Systems

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The roof is a 26-year membrane system with an estimated remaining useful life of 9 years. Mechanical systems include rooftop package units and central plant equipment of varying age. Resident turnover has averaged 2.5% annually with renewal retention above 95.9%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The roof is a 30-year membrane system with an estimated remaining useful life of 7 years. Average in-place rent is $1,137 per month against an average unit size of 818 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Riverbend Terrace was originally constructed in 1995 and consists of 125 apartment homes in a building of 43 stories.

Improvements Description

Resident turnover has averaged 3.9% annually with renewal retention above 96.3%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,137 per month against an average unit size of 818 square feet. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Resident turnover has averaged 7.4% annually with renewal retention above 91.2%. The roof is a 31-year membrane system with an estimated remaining useful life of 8 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Construction Details

Average in-place rent is $1,137 per month against an average unit size of 818 square feet. The roof is a 25-year membrane system with an estimated remaining useful life of 8 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Riverbend Terrace was originally constructed in 1995 and consists of 125 apartment homes in a building of 18 stories.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,137 per month against an average unit size of 818 square feet. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 25-year membrane system with an estimated remaining useful life of 8 years.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Osprey Villas	Cleveland, OH	05/03/2024	159	$24,201,807	$193,614	6.20%	1988
Summit Commons	Savannah, GA	12/13/2023	164	$23,362,695	$186,902	5.93%	2021
Quincy Residences	New Orleans, LA	07/24/2022	103	$12,423,671	$99,389	5.89%	1975
Kestrel Villas	Savannah, GA	10/08/2022	85	$12,726,346	$101,811	6.73%	1983
Northgate Commons	Austin, TX	03/04/2025	84	$18,187,282	$145,498	7.52%	1969
Thornton Commons	Greenville, SC	06/07/2024	142	$17,474,566	$139,797	7.36%	2021
Thornton Villas	Orlando, FL	07/10/2026	183	$21,395,608	$171,165	5.12%	2020
Highland Villas	Tempe, AZ	08/23/2026	123	$7,679,401	$61,435	7.96%	2017
Kingsley Residences	Savannah, GA	08/02/2024	92	$12,016,480	$96,132	5.49%	1991
Kingsley Residences	Albuquerque, NM	10/05/2025	169	$13,097,473	$104,780	6.56%	1973
Bluestone Terrace	Memphis, TN	12/15/2024	137	$17,074,160	$136,593	6.25%	1984
Falcon Residences	Cleveland, OH	05/10/2022	173	$14,756,686	$118,053	7.90%	2020
Redwood Commons	Des Moines, IA	08/21/2026	155	$12,980,796	$103,846	5.84%	1986
Tidewater Villas	Dallas, TX	12/16/2023	118	$11,886,506	$95,092	5.01%	1970
Tidewater Apartments	Madison, WI	04/02/2026	166	$19,432,002	$155,456	7.73%	1968
Juniper Lofts	Denver, CO	06/08/2022	158	$21,891,754	$175,134	5.16%	1991
Yarrow Villas	Newark, NJ	06/22/2024	174	$9,057,740	$72,462	5.47%	1991
Onyx Residences	Sacramento, CA	05/31/2024	163	$14,038,814	$112,311	6.43%	2000
Elmhurst Residences	Riverside, CA	04/21/2023	178	$23,710,299	$189,682	7.84%	1982
Everett Flats	Madison, WI	08/24/2022	143	$7,540,092	$60,321	7.21%	1996
Harbor Residences	Portland, OR	03/17/2025	173	$20,639,834	$165,119	6.94%	1986
Ivy Flats	Naperville, IL	08/29/2025	74	$13,960,799	$111,686	5.01%	1986
Upland Residences	Birmingham, AL	10/26/2023	100	$9,328,980	$74,632	5.13%	2020
Banyan Lofts	Boise, ID	03/16/2022	137	$7,619,530	$60,956	7.14%	2020
Quarry Flats	Seattle, WA	10/08/2023	166	$13,802,234	$110,418	7.91%	2006
Lantern Residences	Salt Lake City, UT	04/01/2022	108	$7,455,398	$59,643	6.35%	2023
Cedar Lofts	Columbus, OH	12/03/2023	114	$8,405,938	$67,248	7.23%	1998
Elmhurst Apartments	Austin, TX	07/13/2024	172	$23,423,382	$187,387	7.32%	1968
Heritage Villas	Pittsburgh, PA	07/06/2022	145	$12,389,608	$99,117	5.52%	1979
Kestrel Commons	St. Louis, MO	02/12/2025	132	$19,579,364	$156,635	6.33%	2021
Tidewater Lofts	San Diego, CA	12/23/2023	85	$8,011,321	$64,091	6.18%	2004
Birchwood Flats	Detroit, MI	05/02/2023	124	$8,363,254	$66,906	8.07%	1980
Fairmont Commons	Jacksonville, FL	08/03/2026	79	$24,143,975	$193,152	6.92%	1988
Juniper Apartments	San Antonio, TX	07/15/2026	160	$22,934,667	$183,477	6.69%	1984
Quincy Commons	San Diego, CA	03/25/2026	125	$11,929,642	$95,437	6.03%	1993
Falcon Flats	Newark, NJ	03/25/2025	85	$10,741,581	$85,933	7.10%	2019
Gatewood Terrace	Salt Lake City, UT	02/08/2022	91	$24,244,521	$193,956	6.27%	2002
Windmill Residences	Louisville, KY	09/28/2025	172	$10,943,247	$87,546	6.68%	1974
Upland Commons	Milwaukee, WI	04/14/2024	134	$12,926,509	$103,412	5.46%	1966
Upland Lofts	Des Moines, IA	03/17/2022	129	$9,537,301	$76,298	6.76%	2017
Wexford Terrace	Allentown, PA	12/30/2024	139	$20,035,415	$160,283	6.19%	1984

Report generated 06/08/2022. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Valuation Discussion

Resident turnover has averaged 11.1% annually with renewal retention above 93.7%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period. Operating expenses totaled $334,000 or approximately 28.74 per square foot, with real estate taxes representing the largest line item.

Resident turnover has averaged 9.5% annually with renewal retention above 92.2%. Operating expenses totaled $374,000 or approximately 40.12 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 8.17% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $138,000, representing a 12.4% increase over the prior year.

Income and Expense Review

Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $276,000, representing a 2.9% increase over the prior year. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 6.77% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $318,000 or approximately 44.36 per square foot, with real estate taxes representing the largest line item.

The going-in capitalization rate of 7.47% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $241,000, representing a 10.8% increase over the prior year. Resident turnover has averaged 6.6% annually with renewal retention above 88.1%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Income and Expense Review

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $423,000, representing a 9.5% increase over the prior year. Operating expenses totaled $194,000 or approximately 47.19 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 8.09% reflects the in-place income and the stabilized occupancy assumption.

Resident turnover has averaged 11.2% annually with renewal retention above 93.9%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $167,000, representing a 2.2% increase over the prior year. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Saddlebrook Terrace	2.0 mi	1976	Bay	$1,051.64	92.1%	None
Bayview Flats	1.6 mi	1971	Inline	$1,057.43	89.0%	1 mo. free
Maple Residences	1.3 mi	1989	2BR	$1,075.18	91.6%	$500
Raven Flats	3.2 mi	1981	Bay	$1,010.45	90.4%	$500
Hawthorne Residences	4.6 mi	2023	Suite	$1,272.89	93.7%	$500
Banyan Terrace	0.4 mi	1977	1BR	$1,152.78	92.9%	$500
Onyx Villas	4.1 mi	2016	Studio	$989.45	96.5%	None
Newport Villas	4.0 mi	1970	2BR	$1,028.90	94.1%	None
Laurel Flats	4.2 mi	1971	1BR	$1,317.48	96.3%	1 mo. free
Heritage Residences	2.7 mi	2011	2BR	$1,033.79	86.2%	$500
Eastlake Terrace	2.5 mi	1979	Unit	$1,065.12	93.7%	1 mo. free
Glenview Flats	4.7 mi	2020	Bay	$1,325.10	95.0%	None
Stonebridge Commons	3.6 mi	1998	Studio	$1,326.97	95.4%	1 mo. free
Wexford Lofts	4.0 mi	2015	Unit	$1,066.81	93.3%	None
Ridgeline Residences	2.5 mi	1994	Studio	$1,338.42	92.4%	1 mo. free
Union Villas	4.1 mi	1976	Bay	$1,173.72	86.5%	None
Dunmore Lofts	4.6 mi	1980	Suite	$1,340.91	90.8%	None
Ironwood Lofts	1.5 mi	1974	Studio	$986.53	96.8%	None
Hawthorne Commons	1.1 mi	1991	Unit	$999.03	95.8%	$500
Bayview Terrace	3.8 mi	1986	Unit	$1,311.65	88.1%	None
Garnet Lofts	0.6 mi	2023	Suite	$1,135.04	97.3%	None
Timberline Villas	2.6 mi	1982	Studio	$1,123.38	88.7%	None
Bayview Commons	4.8 mi	2012	Suite	$1,032.09	91.6%	None
Zephyr Apartments	3.7 mi	1977	Bay	$1,176.87	92.9%	None
Wexford Residences	4.6 mi	1980	Suite	$1,288.21	96.2%	None
Sable Flats	0.4 mi	1971	Studio	$1,184.95	95.3%	1 mo. free
Parkview Villas	1.0 mi	2001	Studio	$1,315.90	95.4%	None
Raven Villas	1.2 mi	1978	Bay	$983.11	86.5%	None
Sterling Commons	3.7 mi	1997	Bay	$1,177.11	94.6%	1 mo. free
Copper Apartments	0.8 mi	2022	Suite	$1,253.68	91.0%	1 mo. free
Hollis Apartments	4.3 mi	1985	Studio	$1,212.59	90.6%	1 mo. free
Kingsley Apartments	0.8 mi	2010	Unit	$1,145.99	87.4%	$500
Lockwood Apartments	2.1 mi	1978	1BR	$1,334.94	89.1%	$500
Bluestone Lofts	4.2 mi	1988	Unit	$1,308.88	89.5%	$500
Garnet Lofts	2.4 mi	1970	Bay	$977.13	91.9%	None
Summit Flats	0.6 mi	1982	Unit	$1,066.96	89.8%	$500
Juniper Residences	0.8 mi	2013	Bay	$1,058.96	94.4%	None
Zephyr Terrace	3.2 mi	2016	Suite	$1,259.53	86.1%	None
Crestline Residences	4.3 mi	2022	Suite	$1,149.02	97.8%	$500
Windmill Villas	1.3 mi	1999	1BR	$1,269.95	87.0%	$500
Falcon Lofts	1.7 mi	2004	1BR	$1,328.63	89.6%	None
Yarrow Villas	4.4 mi	1970	2BR	$1,126.59	91.3%	None
Driftwood Terrace	1.5 mi	1976	Bay	$1,219.82	95.1%	None

Report generated 06/08/2022. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Supply and Demand

Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 7.09% and 7.09%. Average in-place rent is $1,137 per month against an average unit size of 818 square feet. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 6.5% annually over the past 12 years. The Pittsburgh Multifamily market has experienced absorption of 1100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Resident turnover has averaged 11.3% annually with renewal retention above 94.4%.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 9-mile radius of the property is approximately $10,000 and has grown 11.7% annually. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 2.1% annually with renewal retention above 93.8%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Access and Utilities

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 24.24 acres and is generally level with frontage along Pioneer Road. Access to the site is provided by 17 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 22.22 acres and is generally level with frontage along Pioneer Road. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 12 curb cuts and the property is served by municipal water and sanitary sewer.

Submarket Analysis

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,137 per month against an average unit size of 818 square feet. The Pittsburgh Multifamily market has experienced absorption of 1800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Riverbend Terrace is located in Pittsburgh, PA, a market that has recorded 4.6% population growth over the last five years. Resident turnover has averaged 12.7% annually with renewal retention above 92.9%. Market vacancy for comparable Multifamily product stands at 13.4%, down from 7.5% two years ago.

Site Description

Access to the site is provided by 8 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 42.42 acres and is generally level with frontage along Pioneer Road. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Access to the site is provided by 5 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 20.20 acres and is generally level with frontage along Pioneer Road. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Supply and Demand

Average in-place rent is $1,137 per month against an average unit size of 818 square feet. Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 5.52% and 5.52%. Riverbend Terrace is located in Pittsburgh, PA, a market that has recorded 2.3% population growth over the last five years. Market vacancy for comparable Multifamily product stands at 4.4%, down from 6.6% two years ago.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Riverbend Terrace is located in Pittsburgh, PA, a market that has recorded 8.5% population growth over the last five years. Median household income within a 5-mile radius of the property is approximately $145,000 and has grown 9.5% annually. Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 5.51% and 5.51%. Employment growth is led by healthcare, logistics, education and professional services sectors.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Riverbend Terrace and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on May 13, 2022.

Samuel Young, CPG

Pinnacle Realty Appraisers

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only